

ASIASS MENTORSHIP

Trade with Asiass — Analyze • Execute • Evolve

ICT & SMART MONEY CONCEPTS

LECTURE 01

Module 1: Market Structure Basics

Module 2: Order Blocks & Fair Value Gaps (Key ICT Concepts)

Risk Disclaimer

ICT/SMC is a discretionary chart-reading methodology, not a guaranteed system. Trading leveraged instruments (forex, indices, crypto) carries a high risk of loss. This material is for educational purposes only and is not financial advice. Students should never trade with money they cannot afford to lose, and should practice on a demo account before risking real capital.



Module 1: Market Structure Basics

Overview

Market structure is the skeleton of ICT/SMC analysis — the sequence of highs and lows that tells you whether smart money is currently driving price up, down, or sideways. Every other concept in this course (liquidity, order blocks, FVGs) is read in relation to structure.

Key Concepts

- Swing High / Swing Low — a candle with lower highs on both sides (high) or higher lows on both sides (low)
- Higher High (HH) and Higher Low (HL) define an uptrend
- Lower Low (LL) and Lower High (LH) define a downtrend

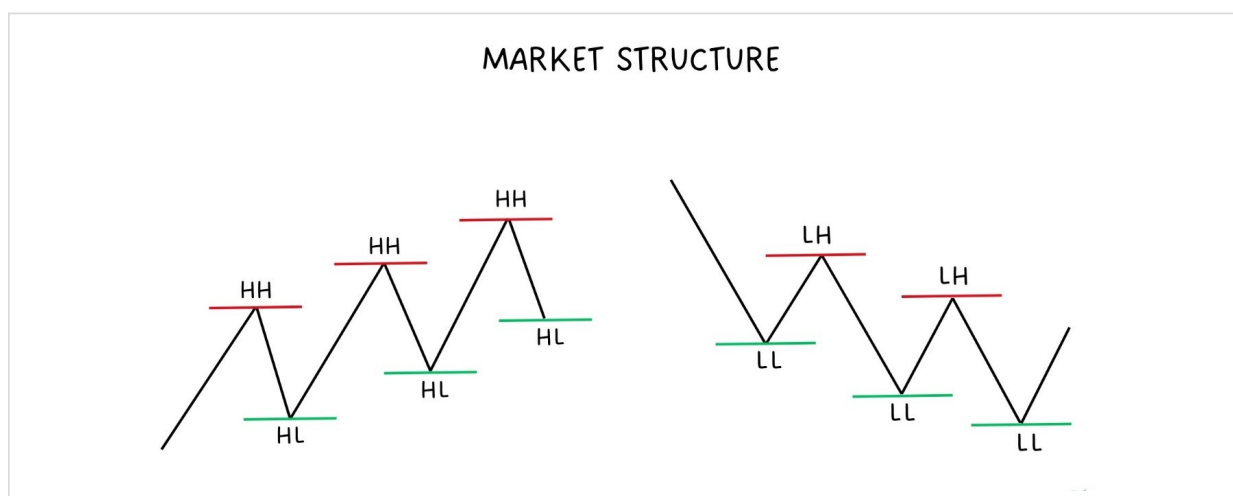


Fig 1.1 — Bullish structure (HH/HL) vs. Bearish structure (LH/LL)

- Break of Structure (BOS) — price closes beyond the most recent swing point in the direction of the existing trend, confirming continuation

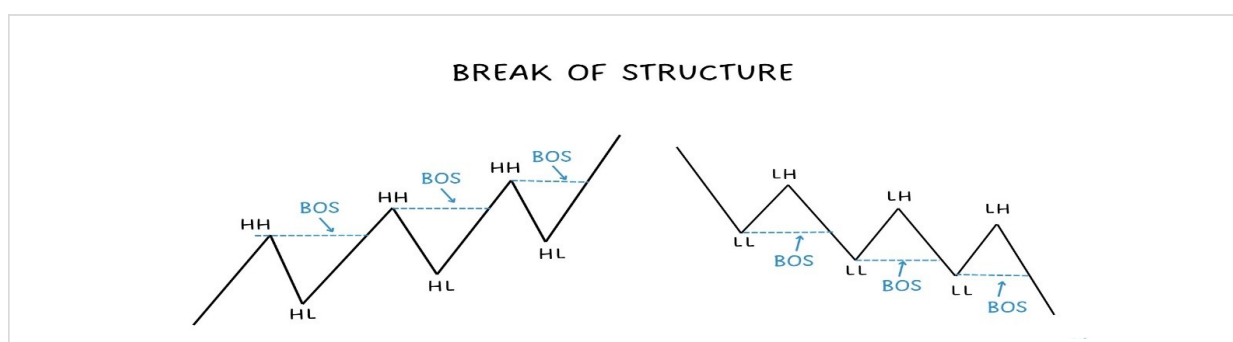


Fig 1.2 — Break of Structure (BOS) in both bullish and bearish sequences

- Change of Character (CHoCH) — price closes beyond a swing point against the existing trend, the first warning sign of reversal

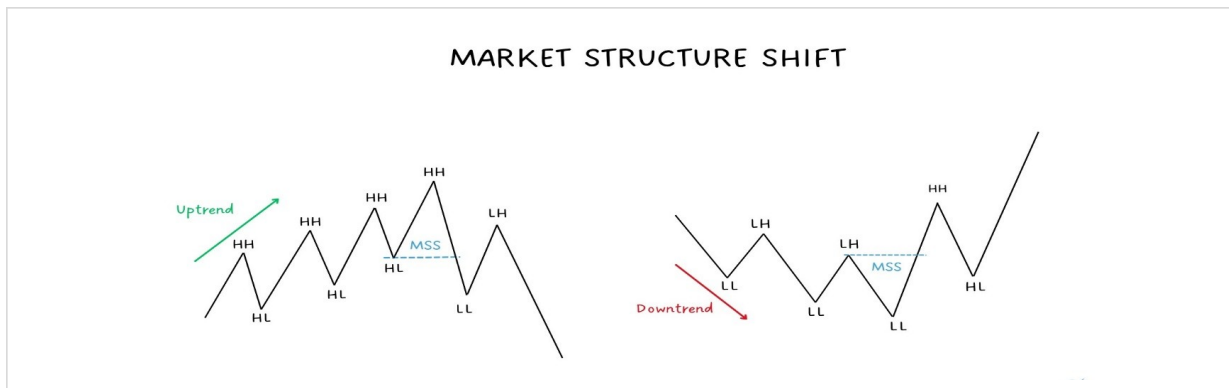


Fig 1.3 — Market Structure Shift (MSS) marking a CHoCH from uptrend to downtrend and vice versa

How to Identify on the Chart

1. Mark every swing high and swing low on the chart with a small dot or label
2. Connect the swings to see whether the sequence is HH/HL (bullish) or LH/LL (bearish)
3. Watch for the first close beyond the trend-side swing — label it BOS
4. Watch for the first close beyond the counter-trend swing — label it CHoCH
5. Zoom out one timeframe to confirm the higher-timeframe bias before trusting the lower-timeframe structure

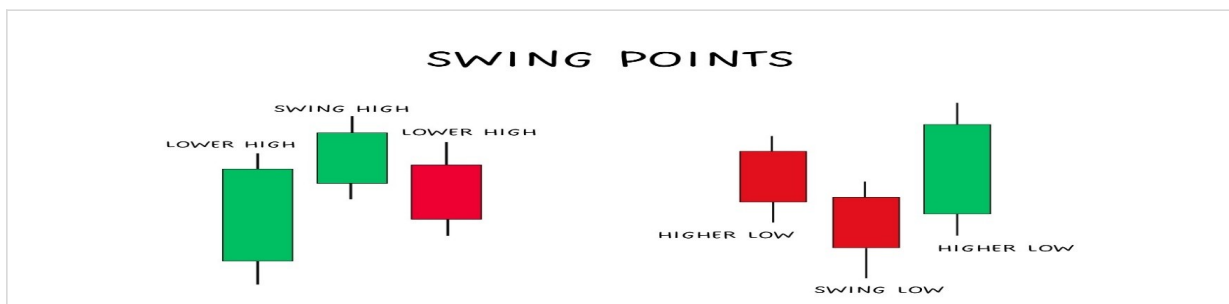


Fig 1.4 — Identifying swing highs and swing lows directly from candlesticks

Worked Example

On the 15-minute chart of EUR/USD, price prints a series of HH/HL for two hours — a clear uptrend. Price then breaks below the most recent HL and closes there: this is a CHoCH, the first sign the uptrend may be exhausted. A student should immediately stop looking for new buy setups and start watching for confirmation of a new bearish structure.

Instructor Tip

Give students a blank chart with candles only (no indicators) and have them mark every swing point by hand before class discussion. This builds the eye faster than any indicator.

Practice Assignment

1. Open any liquid pair on a 15-minute chart and mark the last 15 swing highs and lows
2. Label the overall trend as bullish, bearish, or ranging based on the HH/HL or LH/LL sequence

3. Find and mark one BOS and one CHoCH from the past week of price action
4. Submit a screenshot with labels for review

Module 2: Order Blocks & Fair Value Gaps (Key ICT Concepts)

2.1 — Order Blocks

An Order Block is a price area on the chart where large buying or selling activity took place, usually by institutions or smart money. These areas often lead to strong moves in price and can act as support or resistance when price returns to them.

Bullish Order Block

A bullish order block is the last bearish (down-close) candle before a strong upward move.

Bearish Order Block

A bearish order block is the last bullish (up-close) candle before a strong downward move.

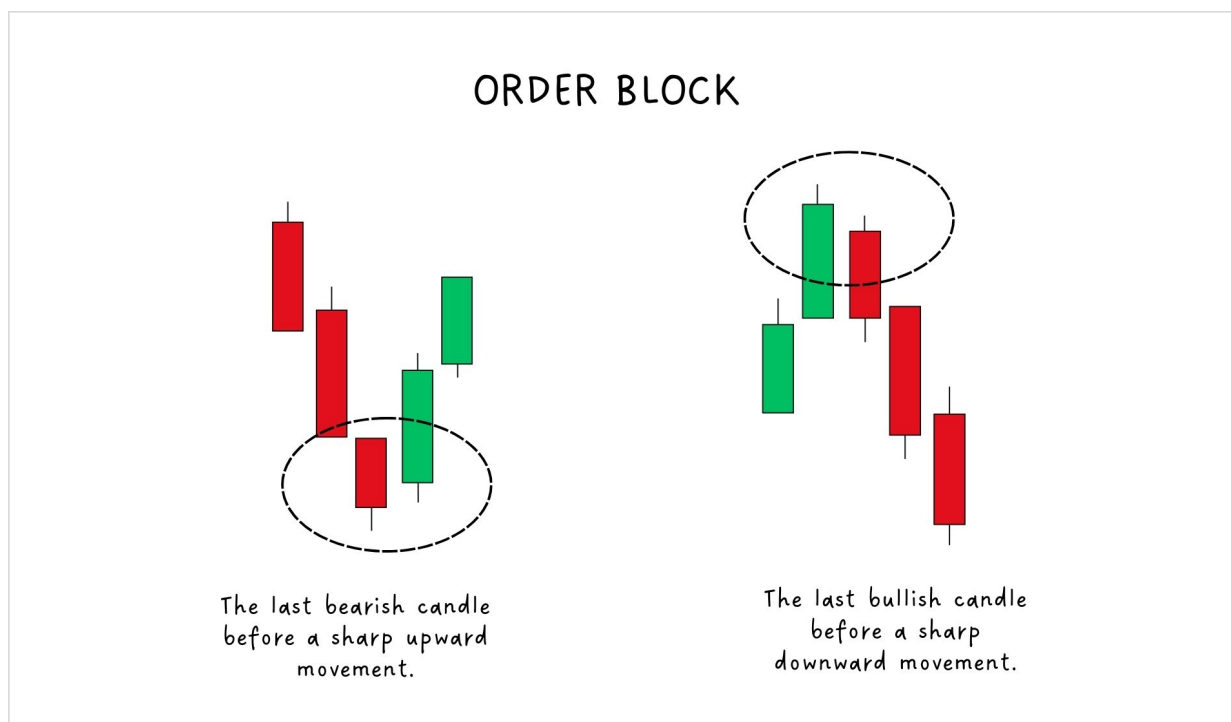


Fig 2.1 — Bullish and bearish order blocks marked on price

Unmitigated Zone

A valid order block must stay untouched (unmitigated) after the move. If price immediately returns and trades back into the zone without leaving a gap, it is considered an invalid order block.

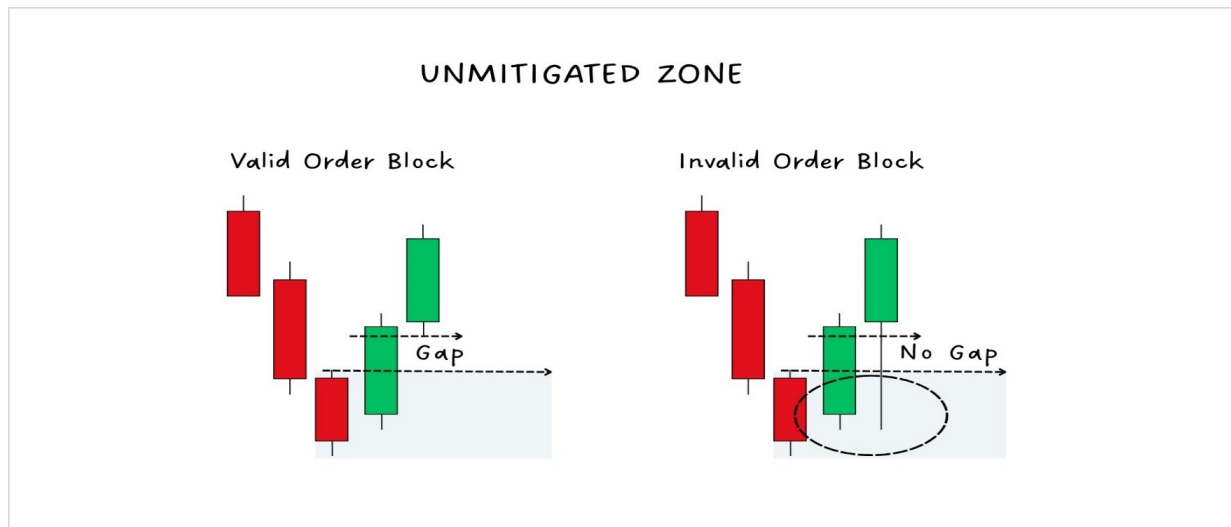


Fig 2.2 — Valid (unmitigated, gapped) order block vs. an invalid order block

Breaker Block

A breaker block is a price zone that was originally an order block but failed to hold, leading to a shift in market direction. Once price breaks through a valid order block, that zone can flip polarity — turning a previous demand zone into supply, or vice versa.

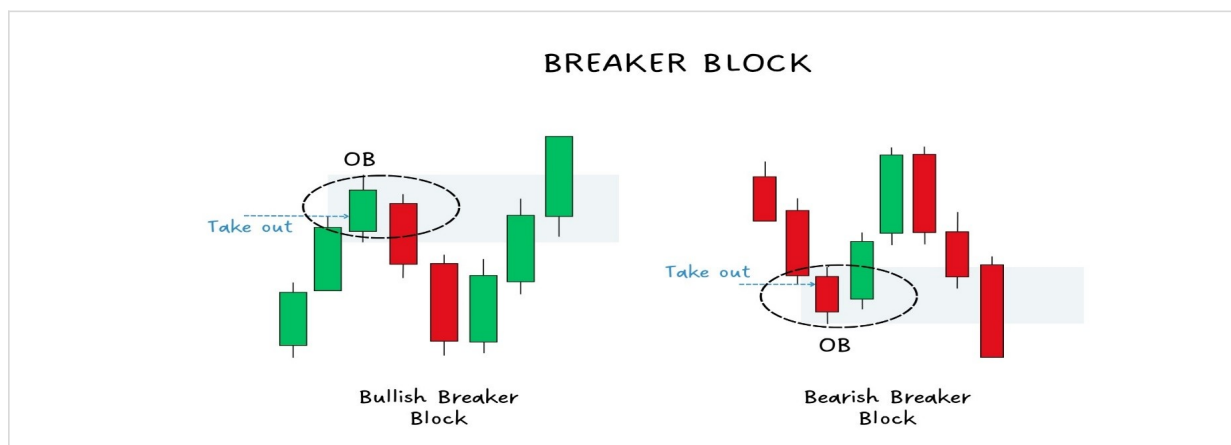


Fig 2.3 — Bullish and bearish breaker blocks after liquidity is taken out

Instructor Tip

Students often mark every red or green candle as an 'order block.' Enforce the rule strictly: it only counts if the subsequent move actually breaks structure, and the zone must remain unmitigated (gapped) to stay valid.

2.2 — Fair Value Gaps (FVG)

A Fair Value Gap (FVG) is a price imbalance on the chart. In simple terms, it's an area where price moved too fast in one direction and didn't fully trade at all levels. ICT traders believe smart money often returns to these areas later to rebalance price or enter new positions.

Bullish FVG

A bullish FVG forms when the high of the first candle does not overlap with the low of the third candle in a strong three-candle upward move.

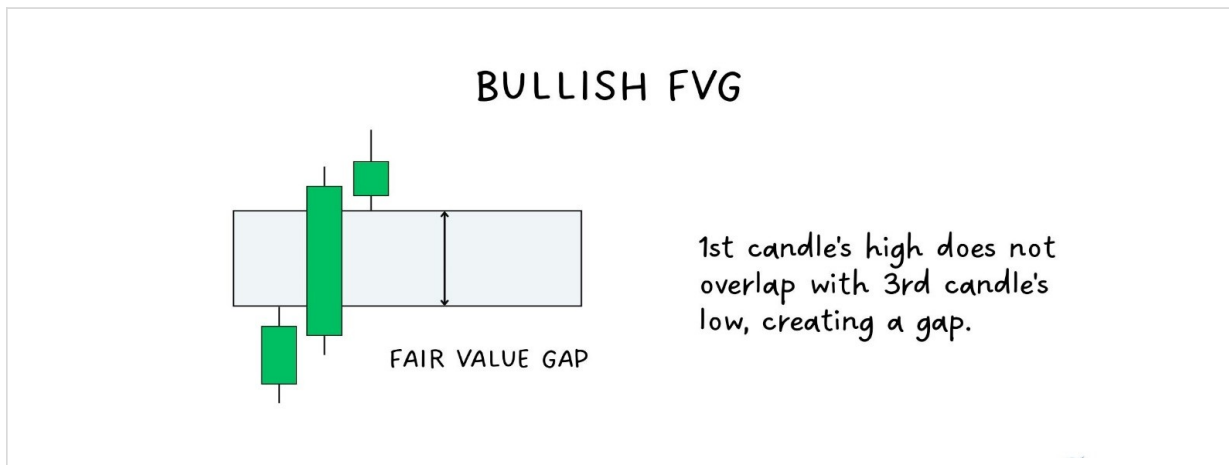


Fig 2.4 — Bullish Fair Value Gap: candle 1's high does not overlap candle 3's low

Bearish FVG

A bearish FVG forms when the low of the first candle does not overlap with the high of the third candle in a strong three-candle downward move.

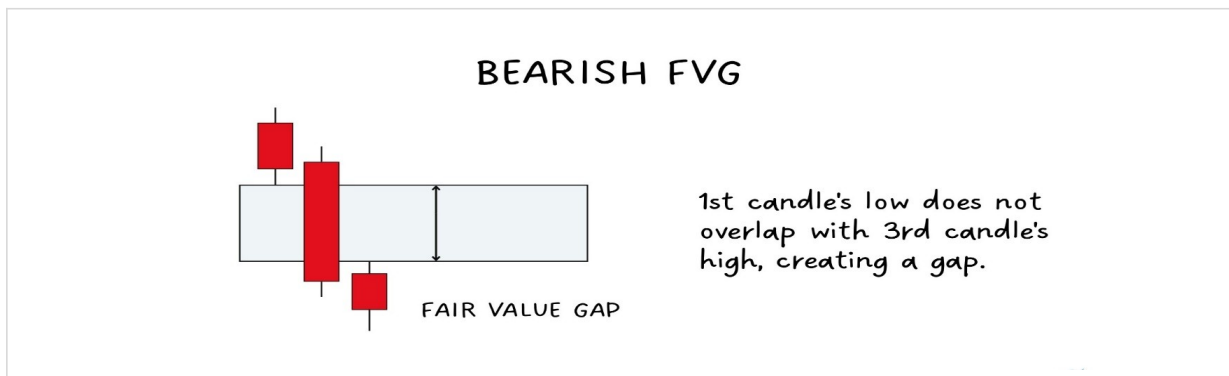


Fig 2.5 — Bearish Fair Value Gap: candle 1's low does not overlap candle 3's high

How to Spot a Valid FVG vs. a Non-FVG

If candle 2 overlaps both the high of candle 1 and the low of candle 3 (or vice versa for bearish), no true imbalance exists — there is no FVG.

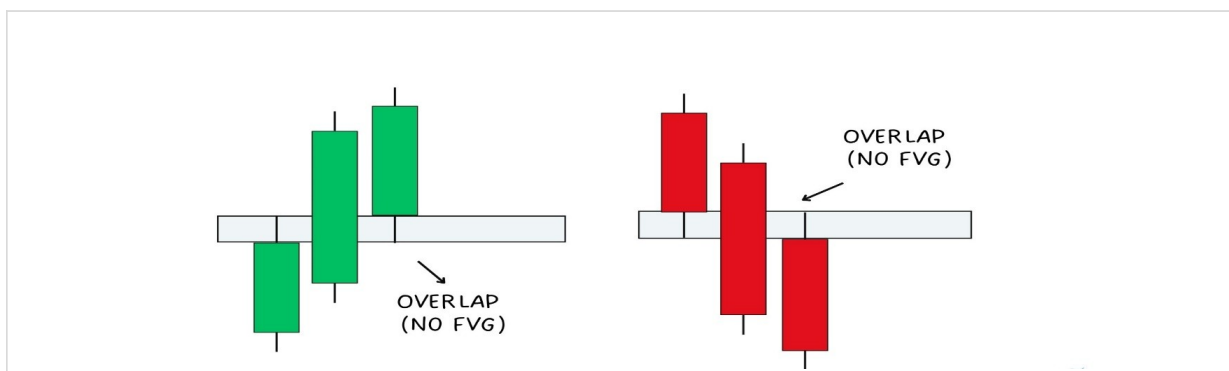


Fig 2.6 — Overlap cases that do NOT qualify as a Fair Value Gap

Valid FVG — Real Chart Example

On the EUR/USD 5-minute chart below, price leaves a clean imbalance during a strong impulsive move. Price later returns to fill part of that gap before continuing higher — a textbook valid, tradable Fair Value Gap.

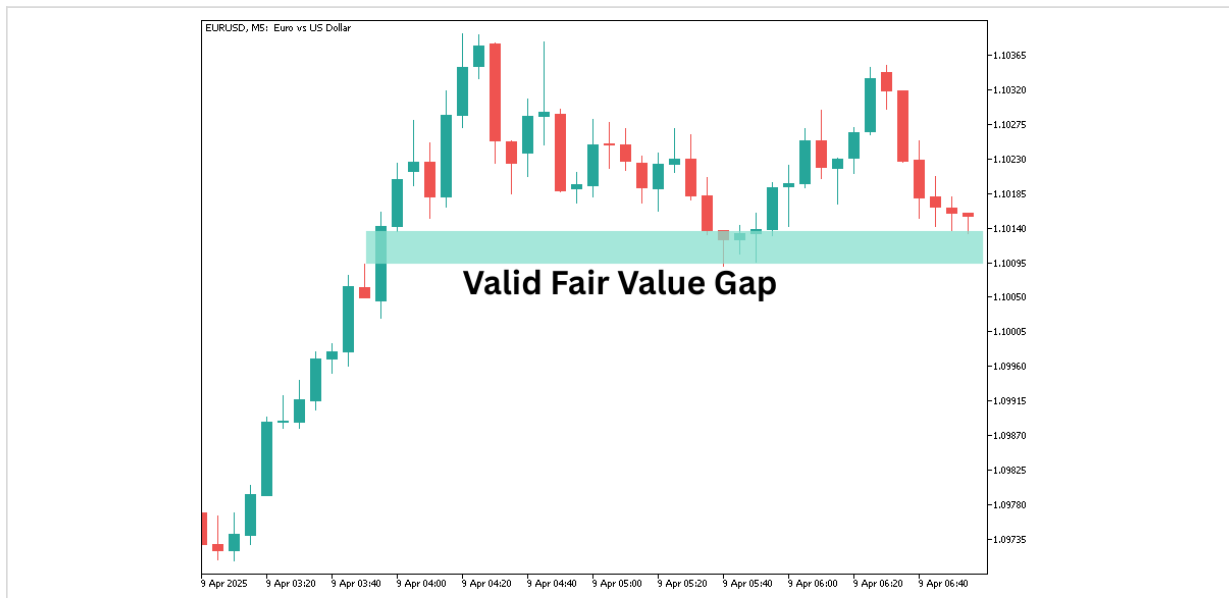


Fig 2.7 — A valid Fair Value Gap on EUR/USD (5-minute chart)

Fair Value Gap Inversion (IFVG)

Sometimes price doesn't respect an FVG the way expected — instead of bouncing or rejecting from it, price breaks straight through. That doesn't mean the zone is no longer useful: it can invert and act as support/resistance in the opposite direction.

A bullish IFVG forms when a bearish FVG is invalidated (broken through to the upside).

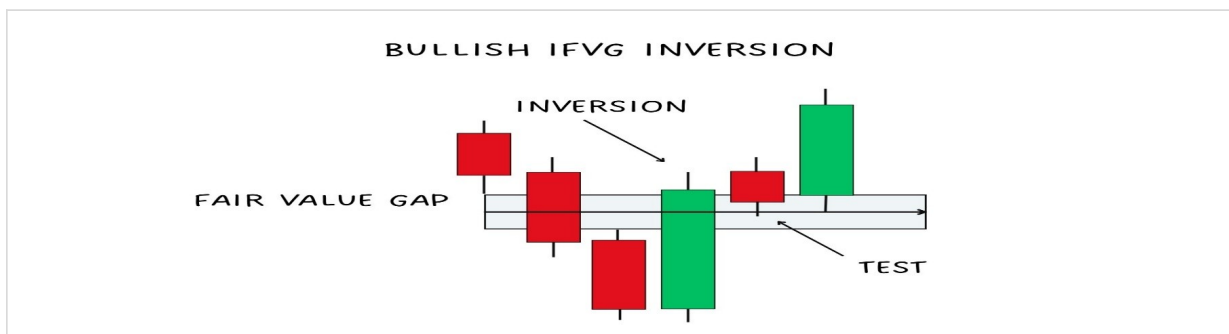


Fig 2.8 — Bullish IFVG: a broken bearish FVG inverts into support, then gets retested

A bearish IFVG forms when a bullish FVG is invalidated (broken through to the downside).

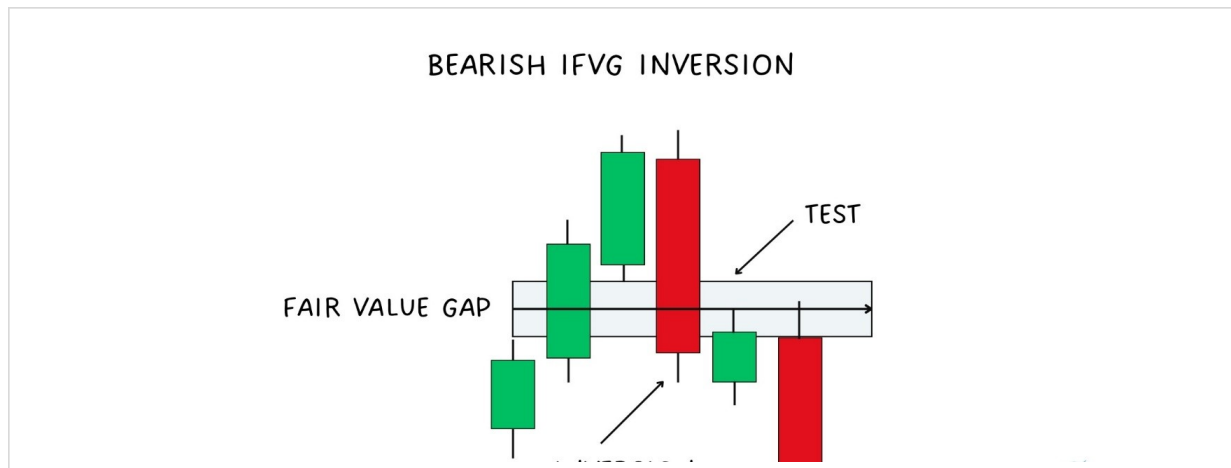


Fig 2.9 — Bearish IFVG: a broken bullish FVG inverts into resistance, then gets retested

Balanced Price Range (BPR)

A Balanced Price Range forms when a bullish FVG and a bearish FVG overlap each other on the chart, representing a zone where buying and selling imbalances have corrected into temporary equilibrium. When one FVG completely overlaps another, the overlapping zone is treated as a BPR — typically a stronger reaction zone than a single FVG alone.

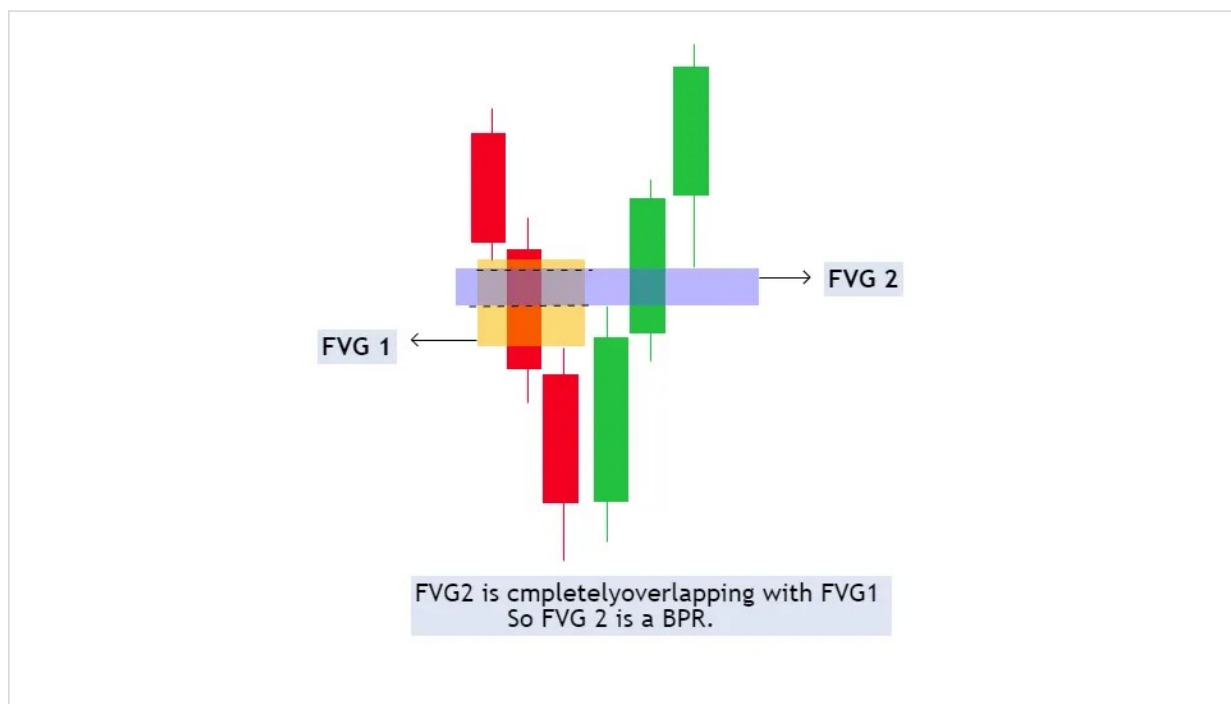


Fig 2.10 — FVG 2 completely overlapping FVG 1, forming a Balanced Price Range (BPR)

Instructor Tip

Show students a real FVG next to a non-qualifying gap side by side (Fig 2.6) before letting them mark charts independently — the three-candle overlap rule must be checked precisely, not eyeballed.

Practice Assignment

1. Mark three valid bullish order blocks and three valid bearish order blocks on your chosen chart, confirming each is unmitigated
2. Find one breaker block where price closed through a prior order block and the zone flipped polarity
3. Identify two Fair Value Gaps (one bullish, one bearish) and mark their midpoints
4. Find one example of an FVG inversion (IFVG) and one example of a Balanced Price Range (BPR) on your chart
5. Submit an annotated chart covering all five items above

Coming Up in Lecture 02

Premium & Discount Zones, Buy-Side and Sell-Side Liquidity, and Stop Hunts / Liquidity Grabs — how smart money uses these order blocks and FVGs together with liquidity to engineer moves.